SAP SE SAP

August 01, 2026 - 4:31pm EST
by seb1991

			2026	2027
Price:	154.00	EPS	7.2	8.4
Shares Out. (in M):	1,150	P/E	20	18
Market Cap (in $M):	181,990	P/FCF	0	0
Net Debt (in $M):	-1,180	EBIT	11,910	13,419
TEV (in $M):	180,810	TEV/EBIT	14	12

Description

Summary

We are long SAP as it offers an attractive risk/reward profile. AI disruption and replacement fear has created an attractive entry point as shares are down -45% since Feb 25. We believe that those fears are misguided as most people misunderstand SAP's true moat and completely missed that SAP introduced a data toll road that not only severely limits 3rd party agentic AI but also strengthens SAP's moat further. A reverse DCF at today's price implies just 4-5% revenue growth vs in reality a business that is capable of growing earnings at ~15% p.a. Based on our intrinsic value of EUR 220-240 (40-50% gap to today's price), we see a compelling margin of safety and ability to compound intrinsic value by at least ~20% p.a. SAP is currently trading at a fwd EV/EBITDA ~13x below its 10Y historical avg.

Introduction

Note1: SAP was written only 6 months ago but there are several reasons why we are pitching it again. First, stock is cheaper. Second, SAP has clarified its AI roadmap, found a way to monetize AI, while increasing its moat. Third, the last write-up did not fully address the AI risk which we tend to discuss.

Note2: Shares re-rated ~15% since Q2 26 call, however, intrinsic value per share still significantly higher vs today's price.

As most of you are already familiar with SAP, we will skip the company overview part. Rather we focus our pitch on three key elements. First, is SAP moat threatened by AI displacement risk? Second, to what extent can SAP monetize AI and defend itself from external agent AI? Third, what does the cloud migration path look like. The last point is key as SAP story is fundamentally about the migration from its legacy on-premises (ECC) software to the cloud (S4 HANA).

SAP moat and AI displacement risk

SAP's moat lies in the immense switching costs created by its deep integration into customers' core business processes and workflows. Fundamentally, SAP ERP system integrates a company's core business process - supply management, procurement, finance, manufacturing, sales – into a single platform that combines all divisional business logic incl. accounting rules, tax regulations, and legal requirements. The larger the company is, the more complex the supply chain is, the more embedded the SAP ERP is part of the operational workflow. This is exactly what SAP is built for. Most SAP's customers (~70%) are large enterprises and active in complex industries such as manufacturing/industrials/healthcare/etc. Implementing or even updating ERP systems is a multi-year project (typically 2-5years) and is highly disruptive to daily operations. *As a side anecdotal point: we had dinner with an IT P&G employee who is responsible for the US ERP cloud transition, and he confirmed that without SAP P&G could not operate.* It represents a major career-risk for CEO/CFO/CTO. Given these dynamics, customer churn is naturally low. SAP does not directly compete vs Workday/Monday.com as such offerings are mostly standardized and catered to SMB ergo price sensitive customers. SAP rigid contract terms and penalties further reinforce the switching costs.

SAP moat goes beyond the switching cost. It is also the system of record and authoritative source for every financial and transactional data. ERP is deterministic by nature requiring 100% accuracy. Every transaction must be recorded accurately and remain traceable through a digital audit trail which is essential for financial reporting, tax filings, regulatory compliance, and audits. Simply put, there is no room for error. Contrasting to that, AI/LLM models are probabilistic models. They generate outputs by predicting what is mostly likely based on data. There is always a degree of hallucination (as we all know), while producing different results. In other words, the accuracy is relatively low, and the error rate is high. Given this fundamental structural issue, AI/LLM cannot itself replace a core ERP system.

This is obvious yet Mr Market appears to be missing that (me saying this as a non-TMT investor!). The logical question is therefore not whether AI can replace ERP system but whether an AI agent can lay "above" SAP, leveraging SAP data. We discuss this next.

SAP vs agent AI – battle of the orchestration AI layer

Previously, SAP customers could "freely" extract any SAP data outside of the ERP ecosystem. For instance, one customer could extract operational SAP data (e.g. beer procurement order) into a data lake/warehouse, blend it with non-SAP data (weather, sport events), and run analytics tools with e.g. Microsoft BI (recommendation: buy more beer when it is hot), and feed it back to SAP. While SAP permitted these API integrations, it also meant that much of that value creation happened largely outside of SAP's ecosystem making it difficult for SAP to monetize. That fuelled Mr Market's fear that 3rd party agentic AI could disintermediate SAP by operating in a layer above ERP.

This dynamic however shifted materially post SAP's April 2026 API Policy update (Section 2.2.2, API Policy v4/2026), something many investors missed. Effectively, the API updates close the above described open extraction route in two ways: i) restrict autonomous 3rd party AI agents from directly and independently accessing SAP APIs, and ii) separately limit large-scale SAP data extraction unless routed through an SAP-authorised pathway. Effectively, customers must now use one of three sanctioned routes each controlled by SAP.

- First, any bulk extraction of SAP data to external platforms (Databricks, Microsoft Fabric, Snowflake, etc.) must now flow through SAP's newly launched Business Data Cloud (BDC). In other words, SAP BDC has inserted itself as the mandatory intermediary - very much like a toll road - between those platforms and customers' SAP data via SAP-designed routes and endpoints.
- Second, external AI agents must interact with SAP systems through Joule, SAP's internal AI layer. Joule acts here as a traffic cop, orchestrating and gatekeeping every interaction between 3rd party agents and SAP's underlying systems
- Third, customers can also use SAP’s Joule Studio agent builder (analogy: lego builder) allowing SAP customers to design, build, and customise their own AI agents natively within SAP. Joule's structural advantage over 3rd party alternatives is that it already sits inside the SAP perimeter giving it native access to user context and transaction history, while sparing customers the data governance and integrity concerns/issues that come with external agents. It is worth noting that Joule is not itself a competing frontier model; rather, it is powered by 3rd party AI models’ capabilities such as Claude.

What does the monetarization path look like? It depends on the customer use case and which route/pathway is chosen.

- Where access flows through BDC, additional SAP BDC subscription is required with metered overage fees; very much the toll road model described above. Note: while it is early stage of the BDC rollout, SAP disclosed already ~€2bn of BDC-related backlog representing ~10% of total current cloud backlog. We expect this backlog to increase significantly
- Where access runs through Joule, the monetization is a hybrid model of AI units consumption and a premium tier S4 HANA ERP subscription. The most basic Joule (chat assistant) is already free and included in the basic/premium ERP cloud subscription

Together, these routes shifts SAP’s revenue mix toward more consumption-based pricing which Mgmt guides to ~30% of total cloud revenue by ‘30E. It is worth noting that SAP is relatively well insulated from the broader seat-based pricing debate as today only ~35% of SAP cloud revenue is seat-based (while other ERP vendors have 90+% exposure). The majority (~55%) of SAP cloud revenues/pricing is instead tied to customer business volume metrics such as € of GMV, # of document, % of supplier spending [see appendix]. In other words, SAP is growing with its customers’ underlying business activity.

We are aware that the above section is technical, so it is worth stating it plainly again. First, SAP's restrictive API policy prevents any 3rd party AI agent from acting as the orchestration layer; rather, SAP has anointed itself as the sole orchestrator king. Second, SAP has converted an open, unmonetized flow of data into a metered toll road. Its data must now travel through SAP-controlled routes alone. Third, and most importantly, this adds a new layer to SAP's pre-existing moat.

Cloud migration story

The cloud migration story has been the key element to SAP investment thesis since the launch of RISE program in 2021. The transition from on-premises to cloud is economically lucrative for SAP as it uplifts the contract value of customers by 2-3x. This is because SAP captures a larger share of the value chain from infra, hosting to cloud and adjacent vertical applications. Under the legacy on-premises model (SAP ECC) customers bought a perpetual license plus an annual maintenance contract (~20% of license value p.a.) while self-managing the hardware/infra/hosting/system. As you are probably aware: the cloud transition has a meaningful P&L impact. SAP trades higher upfront license gross margins (~90%) for lower SaaS gross margins (~75%) but in return it gets a larger, more predictable stream of recurring revenue + CF.

While SAP was late to the cloud transition – a fair critic in our view – there are two reasons for this. First, SAP's (German) conservative culture certainly made SAP always a late adopter to tech cycles but this did not prevent to succeed as seen during ecommerce period. Second, cloud transition started with less complex applications such as HR/CRM before extending it to ERP which is inherently more complex as previously described. Third, discussions with current ECC customers reveal that there was a desire to delay the migration as long as possible until the first sunset period of ‘27 as the migration typically takes 18-24month. While some customers expressed concerns about the loss of internal IT support and the increased reliance on SAP’s support, the general view is that cloud ERP is a better product.

Today’s cloud revenue accounts for ~60% of total revenues up from 35% in ’21. The remaining ~30% / $10bn (“software support”) represents the migration opportunity in theory; translating into an additional $20-30bn revenue opportunity/uplift. However, 100% conversion is highly unlikely in reality as a small % of customers will stay beyond the ECC sunset period of ‘27/30 (albeit at a significant cost for them). Additionally, we have held multiple discussions with system integrators (Accenture, Capgemini) all of whom confirmed that customers are accelerating their migration efforts. For instance, ~40% of Accenture’s new hires are for SAP people. Further, the largest independent SAP association (DSAG) conducted a recent survey indicating that ~86% of SAP ECC customers will complete their migration by the end of 2030 (~5% remain beyond 2033, ~9% didn’t know). This survey also illustrates that a significant amount of existing SAP ECC customers will stay with SAP.

We expect little migration leakage to emerging “AI native ERP platforms” as those offer highly standardized public cloud products which cannot accommodate the complex, legacy customisations most SAP ECC customers rely on. Additionally, a significant share of ECC customers operates in data-sensitive industries (healthcare, defence, etc.) where a private cloud is mandatory.

What is it worth?

Putting all this into a DCF reveals an intrinsic value per share in the range of EUR 220-240 representing a ~40-50% gap to today’s price. Furthermore, we believe that the intrinsic value can compound at ~20% p.a. consisting of: earnings growth ~15% + fcf yield ~5% (assuming no multiple expansion)

Our key financials are tabularised below. But on a high-level our assumptions are:

- Cloud revenue ~20% CAGR ’25-30, majority driving by migration effort albeit migration to slowdown post ’27 given first ECC sunset period
- Software support (legacy): declines by ~11% CAGR due to migration exercise
- Total revenue (from the above math): ~11% CAGR

- Gross profit margin: converging to ~75% by ‘30E to SaaS typical levels
- EBITDA margin (non-IFRS): margin increasing to ~37% ‘30E (+500bps) due to operating leverage. Mgmt communicated 80-90% cost to revenue growth. EBITDA CAGR ~14%

Key financial outputs	2025	2026	2027	2028	2029	2030	CAGR
Cloud revenue	21,023	25,858	31,289	37,546	44,680	52,722	*20%*
% Growth			*21%*	*20%*	*19%*	*18%*	
% total revenue	*57%*	*64%*	*70%*	*75%*	*80%*	*84%*	
Software support	10,525	9,683	8,715	7,669	6,749	5,939	*-11%*
% Growth			*-10%*	*-12%*	*-12%*	*-12%*	
Total revenue	**36,800**	**40,510**	**44,730**	**49,733**	**55,613**	**62,640**	***11%***
% Growth		*10%*	*10%*	*11%*	*12%*	*13%*	
GM	**27,146**	**29,775**	**32,877**	**36,803**	**41,432**	**46,667**	***11%***
% Margin	*74%*	*74%*	*74%*	*74%*	*75%*	*75%*	
EBITDA	**11,730**	**13,328**	**14,985**	**17,158**	**20,299**	**22,864**	***14%***
% Margin	*32%*	*33%*	*34%*	*35%*	*37%*	*37%*	
EBIT	**10,419**	**11,910**	**13,419**	**15,417**	**18,352**	**20,671**	***15%***
% Margin	*28%*	*29%*	*30%*	*31%*	*33%*	*33%*	
ULFCF	**6,677**	**8,240**	**9,317**	**10,741**	**12,825**	**14,483**	***17%***

TSR	
Earnings growth	15%
FCF yield	5%
Change in P/E	0% < assume no multiple expansion
IRR (base case)	**20%**

DCF	
WACC	7.3%
g	2.5%

These are very conservative assumptions. We do not model any (new) AI monetization revenue streams despite what we claimed previously about SAP’s ability to do so now.

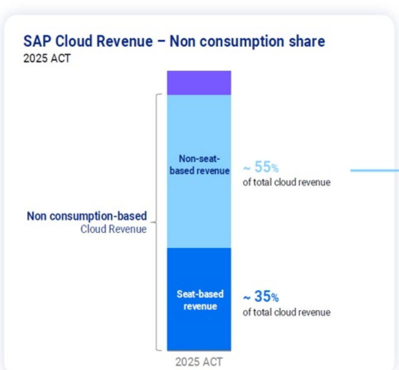
SAP is trading at 13x fwd EV/EBITDA below its 10Y historical avg. of ~16x, which we believe is not justifiable. Any re-rating to its 10y avg would boost the IRR by another ~7pp (20%+7%) = ~27% but this is not part of our base case.

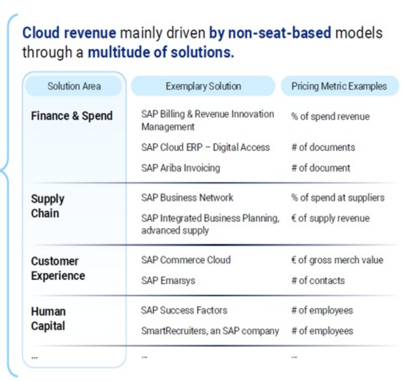
A reverse DCF at today’s price implies just a 4-5% revenue CAGR ’25-30 (>50% haircut), suggesting Mr Market is seriously questioning SAP’s moat/terminal value. We find this absurd. A simplified ARR bridge illustrates why: 5-6% annual pricing uplift + (-1%) customer churn, already gets to 4-5% revenue profile; so any migration/upsell/cross-sell is therefore pure upside. It is also worth noting that even in a hypothetical "Armageddon" scenario where cloud migration stops/reduces entirely, SAP's software support revenue would likely increase rather than decline as customers would remain on legacy on-premises ECC solutions under annual maintenance contracts that are subject to annual pricing increases (~5% annual p.a. + additionally penalty surcharge of 2pp on license cost for those who fail to migrate beyond 2027).

Summary

Whatever doom scenario Mr Market is pricing in, the reality looks very different. SAP's moat protects its existing customer base from churn and AI displacement risk, while its April 2026 API update reinforces SAP’s moat further by converting an open data flow into a monetizable toll road. This leaves SAP in an attractive risk/reward position with a significant margin of safety at today's price.

Appendix





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Catalyst

- None other than good risk/reward profile. Q2 26 call already took place
- Next company events: SAP TechEd (AI product event) Oct 26, next CMD date TBD

Messages

Subject Disclaimer
Entry 08/02/2026 08:47 AM
Member seb1991

Just a disclaimer: this pitch doesn't count toward my two-pitch-per year obligation, so it is a free idea.

Also, the last write up was actually written 7 months ago (not 6).

Subject To those...
Entry 08/02/2026 09:18 AM
Member seb1991

Bypassing VIC rule of 6 months lag for same ticker

To those who are quoting VIC rules but don't bother to read the VIC rules: "An idea can be resubmitted to the site a minimum of six months after a previous submission."

Last write up dated: January 07, 2026 - 5:34pm EST
This write up dated: August 01, 2026
= 6 months and 25 days

And for those who also missed reading the actual pitch: the bigger discussion changed after SAP’s **April 2026 API Policy update** (Section 2.2.2, API Policy v4/2026) and implemented 9th June 2026. That API shift is a game changer, but you would have to read the pitch to see why.

Subject excellent writeup
Entry 08/02/2026 03:12 PM
Member churchill

Thanks Seb - I’m impressed by the level of technical depth in your analysis. It’s rare to see that from industry analysts, and I completely agree with your assessment of SAP’s competitive moat.

One question though: do you see Oracle Fusion taking meaningful market share from SAP S/4HANA over the next decade?

Subject Forgot the customer
Entry 08/02/2026 09:24 PM
Member tps12

For me, SAP is a case study in what happens when you try to extract as much value possible from your customers over time and ultimately lose sight of actually trying to delight your customers. I can’t name many businesses who have really endured over the long run running this playbook. Even this new API piece is just another form of rent extraction.

Could this ultimately be the real reason SAP has de-rated with AI as just an easy narrative washing?

Also as background, I’ve been on a finance team at a F500 company that has implemented SAP so I generally understand how sticky and important SAP is. Lastly, this was a great write up.

Subject Cloud migration
Entry 08/03/2026 03:10 AM
Member StockOperator

Hey Seb really enjoyed this one. Thank you

Could you talk a bit more about the on-premise-> cloud migration and how you feel about these shifts generally; I’m currently looking at one of these stories that I think will fail (customers are unwilling to move off licenses & maintenance in this case) and customers don’t actually want the SaaS model.

How do you account for churn, lapses, and customer unwillingness to move off the annuity?

And then secondly, what metrics would you be looking at to assess whether the ongoing migration is going well, or what metrics would tell you it’s taking longer / not moving at the pace mgmt would like it to?

Cheers

Subject AI replacement risk
Entry 08/03/2026 09:01 AM
Member EthanG

Sorry if I'm misunderstanding, but you say that AI cannot replace the system by using the LLM instead of it. But the fear is not on the AI doing the work itself but rather AI's ability to create the software behind it very easily so a company can make their own enterprise software and that competition will arise very easily and there will be limited future growth and compressed margins.

The risk of a company looking for a replacement system seems to be even more prescient if SAP creates friction in interactions with their tolls.

I agree with the switching costs, but I think this could be a serious headwind to growth through acquiring new customers and could potentially affect churn.

Subject	Re: excellent writeup
Entry	08/03/2026 11:02 AM
Member	seb1991

churchill – thanks for the nice words!

In short, I dont believe Oracle will take m/s (today or in 10Y) from SAP. Generally, there is very little customer switching between SAP and Oracle. Several reasons for this but the main one is that the customer base and product offerings are different:

- Oracle's offering is primarily skewed toward financial services and professional services. Oracle has strong HCM and Finance capabilities
- SAP is more focused on complex, multi-country industries where deep vertical-specific functionality is essential: industrials, pharmaceuticals, automotive, chemicals etc. Its core strength is supply chain management
- Oracle's SaaS offering is more standardized and customization is limited vs SAP

Also, customers avoid doing 2x ERP implementation cycles; too much pain.

Subject	Re: Forgot the customer
Entry	08/03/2026 11:05 AM
Member	seb1991

Tps12, it is a fair criticism and I agree with you. The moment a customer joins SAP’s ecosystem, a straitjacket is being put on. There are certain contract elements that are very restrictive (to say the least). Certainly, SAP will not win an award for best customer service, but it is not the product value that customers are complaining about but rather the restrictions. An important distinction IMO.

However, I would counter that *new + existing* SAP customers are fully aware of the above restrictions dynamic; this has been true for at least 10-15 years? Yet, customers are still deciding for SAP, the reason being that there is no equal ERP replacement. In the few cases that customers left SAP, a lot of them came back to SAP because the alternative ERP could not offer the customization level that was required.

I don't believe that the derating is (partially) driven by the above restrictions as you would have seen evidence of that e.g. increased customer churn rate during migration phase. Instead, the available evidence (incl. the external survey data by DSAG) illustrates that existing SAP customers are sticking with SAP and do not switch

Yes, the new API policy is another restriction but at the same time SAP is not the only vendor doing it: Servicenow, Salesforce, Workday have recently implemented similar API restrictions but haven’t checked to what degree/level. My guess is that you will more SaaS vendors implementing such policies in order to protect their data integrity.